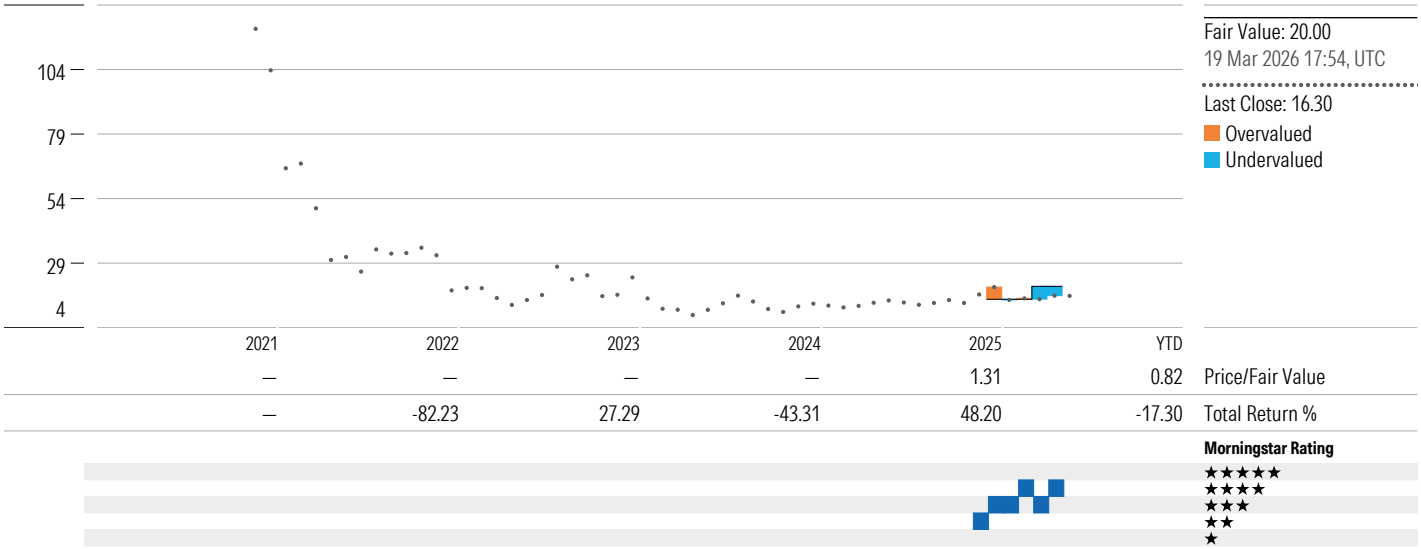
Rivian Automotive Inc Class A RIVN ★★★ 1 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
16.30 USD 31 May 2026	20.00 USD 19 Mar 2026 22:54, UTC	0.81	22.76 USD Bil 1 Jun 2026	None	Mid Blend	Very High	Standard

Price vs. Fair Value



Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 19 Mar 2026 17:54, UTC.

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Rivian Earnings: Shares Fall on Delay in Positive Free Cash Flow; Maintaining Valuation

Analyst Note Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

Rivian generated positive gross profits during the first quarter as the company prepared to begin mass manufacturing its new lower-cost vehicle. Rivian shares were down 4% in after-hours trading as the market reacted to management's outlook for negative free cash flow in the coming years.

Why it matters: Management said it saw a path to positive free cash flow following the production ramp-up of its new lower-cost vehicle at its existing factory in the US state of Illinois and the ramp-up of its lower-cost vehicles at its new factory in the US state of Georgia.

- The Georgia factory is in the early construction phase, and we wouldn't anticipate production to ramp up near the 300,000 vehicle capacity until 2030. We think the market was anticipating positive free cash flow generation within the next two to three years, causing the stock to sell off.
- However, with Rivian building its second factory and investing heavily in its autonomous driving platform, we did not forecast the company would generate positive free cash flow until 2030. While management did not set a firm target, we think our forecast is in line with management's comments.

The bottom line: We maintain our $20 fair value estimate for no-moat Rivian. At current prices, we view Rivian shares as slightly undervalued with the stock trading a little more than 20% below our fair value estimate.

- We increased our capital expenditures forecast for greater spending on Rivian's autonomous vehicles

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Sector Consumer Cyclical

Industry Auto Manufacturers

Business Description

Rivian is a battery electric vehicle automaker that sells its vehicles in the US and Canada. The company also develops electronic control units and related software for autos in a joint venture with Volkswagen. Rivian has multiple vehicles in its fleet, which include a luxury truck and full-size SUV and a delivery van. The company plans to begin selling a midsize SUV in 2026. Total deliveries were over 42,000 in 2025. Rivian is also developing autonomous driving software to be used in its vehicles and for robotaxis on the Uber ride-hailing network.

platform. We also decreased our near-term profitability assumptions as we see the new vehicle production ramp weighing on profits more than our prior forecast.

- Separately, we lowered our weighted average cost of capital from roughly 10% to 9% for a higher proportion of debt in Rivian's capital structure. The changes largely offset one another.

Business Strategy & Outlook Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

Rivian is a battery electric vehicle automaker that sells its vehicles in the US and Canada. The firm began deliveries in 2021 and currently sells a luxury truck, the R1T, a luxury full-size SUV, the R1S, and a delivery van. Rivian aims to compete in the entry-level luxury car and midsize crossover sport utility vehicle markets, set to launch in 2026. Rivian plans to launch a second midsize SUV in the coming years.

Rivian aims to grow its EV sales over time, from over 42,000 in 2025 to over 500,000 by early next decade. We forecast EVs will be roughly 1 in 3 autos sold globally by 2030, with a 20% adoption rate in the US and a 45% adoption rate in Europe. To meet growing demand, Rivian is finishing expansion at its Illinois factory in the US, where it will begin producing the R2 vehicles in 2026. Rivian is also constructing a new plant in Georgia, which will have an annual capacity of 300,000 vehicles. This facility will produce R2 and R3 vehicles for sale in the US and Canada and eventually Europe.

Rivian also invests heavily in research and development, focusing on improving its technology, reducing manufacturing costs, and developing autonomous driving software. Rivian's autonomous driving system featured its internally developed hardware and software. The software will initially allow drivers a Level 2 hands-free driving experience, but Rivian aims to eventually develop a Level 4 system and will partner with Uber for robotaxi deployment. The company also plans to reduce its unit production costs through scale as production increases.

Rivian also has a joint venture with Volkswagen to develop electronic control units, or the brains of an auto. Rivian's ECUs control multiple parts of a vehicle versus just one or two functions, which can greatly reduce costs and more easily allow updates to a vehicle over time. The joint venture will sell ECUs to Volkswagen electric vehicles starting with the ID1 in late 2027. This could grow to other Volkswagen EVs over time.

Finally, Rivian owns a network of fast chargers throughout the US and has a partnership with Tesla for Rivian owners to be able to use Tesla superchargers.

Bulls Say Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

- Rivian's new R2 vehicle will become popular among midsize SUVs, which is the largest auto category in the US by volume.
- Rivian will become profitable and generate positive free cash flow from positive operating leverage as

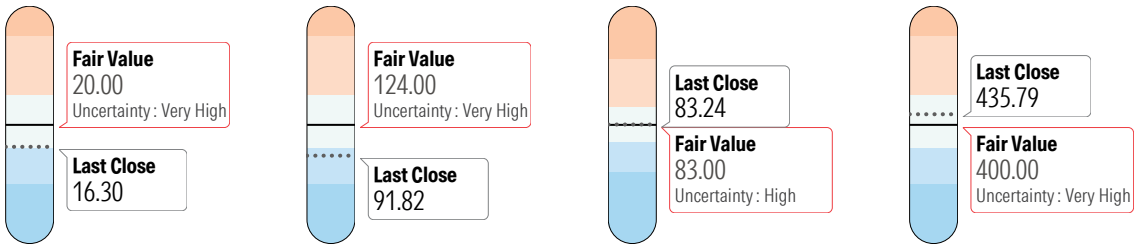
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Competitors



	Rivian Automotive Inc Class A RIVN	Volkswagen AG ...hne Stimmrecht VOW3	General Motors Co GM	Tesla Inc TSLA
Economic Moat	None	None	None	Narrow
Currency	USD	EUR	USD	USD
Fair Value	20.00 29 May 2026 16:43, UTC	124.00 29 May 2026 23:54, UTC	83.00 29 May 2026 16:32, UTC	400.00 29 May 2026 16:31, UTC
1-Star Price	35.00	217.00	128.65	700.00
5-Star Price	10.00	62.00	49.80	200.00
Assessment	Undervalued 1 Jun 2026	Undervalued 1 Jun 2026	Fairly Valued 1 Jun 2026	Fairly Valued 1 Jun 2026
Morningstar Rating	★★★1 Jun 2026 21:21, UTC	★★★★29 May 2026 05:00, UTC	★★★29 May 2026 05:00, UTC	★★★29 May 2026 05:00, UTC
Analyst	Seth Goldstein, Senior Equity Analyst	Rella Suskin, Equity Analyst	David Whiston, Senior Equity Analyst	Seth Goldstein, Senior Equity Analyst
Capital Allocation	Standard	Poor	Standard	Exemplary
Price/Fair Value	0.82	0.74	1.00	1.09
Price/Sales	3.58	0.14	0.43	15.73
Price/Book	4.66	0.26	1.20	19.45
Price/Earning	—	7.51	30.72	399.81
Dividend Yield	0.00%	6.93%	0.76%	0.00%
Market Cap	22.76 Bil	45.40 Bil	74.55 Bil	1,561.93 Bil
52-Week Range	11.57—22.69	82.66—109.15	46.82—87.62	273.21—498.83
Investment Style	Mid Blend	Large Value	Mid Value	Large Blend

the company ramps up production, greatly reducing unit production costs, and develops autonomous driving software.

- Rivian will successfully develop autonomous driving software that will boost vehicle sales and generate strong high-margin software revenue, including software to be used in robotaxis on the Uber ride-hailing network.

Bears Say Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

- Rivian will remain unprofitable as it will face increased competition in the midsize CUV market, forcing the company to cut prices.
- Rivian's large investment to build a new factory in Georgia will prove value destructive as demand for its midsize SUVs will be far lower than its new capacity.
- Rivian's joint venture with Volkswagen will not add value to shareholders as its electronic control units will not be a part of many vehicles outside of the ID1.

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Economic Moat Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

We don't believe Rivian has a moat.

Rivian's main business is producing and selling vehicles, as the automotive segment generates the majority of revenue. Vehicle manufacturing is a very capital-intensive business, with relatively low barriers to entry. To establish a moat, we would typically need to see a brand intangible asset or a cost advantage that drives returns on invested capital above a company's weighted average cost of capital. The US auto industry is full of strong competition, making it very difficult to establish a brand that commands pricing power. We credit Rivian with entering the market with its truck and SUV products and establishing itself as a luxury automaker. The company plans to grow deliveries through its midsize SUV product, which will be in the entry-level luxury category.

Rivian is aiming to reduce its vehicle manufacturing costs over time to make its vehicles profitable. The company has recently generated a positive gross profit for its vehicles, yet is still unprofitable when including overhead costs, including selling and marketing expenses, and research and development costs. We think the company can grow sales and eventually generate profits and positive free cash flow. Yet, we see a high threat of material value destruction that precludes a moat rating. This is because the company's success depends on its new models gaining share with consumers, which could not occur, leading to material value destruction.

In the software and services segment, Rivian's joint venture with Volkswagen will produce electronic control units to be used in new Volkswagen electric vehicle models. We think this business will likely grow as its ability to provide central vehicle controls can allow new Volkswagen models to greatly reduce their manufacturing costs and be able to compete with low-cost Chinese EVs in the European market. We see traces of switching costs in this business, like top-tier auto suppliers. This segment also contains Rivian's autonomous driving software. Here, we see the potential for strong success that can make the company's vehicles more favorable with consumers and generate strong returns on invested capital over time. However, we also see the threat of material value destruction. Rivian is making a large investment in its software development, with no guarantee it will be able to develop software that is Level 3 or above, which is when the vehicle takes over driving functions for some or all of the time. If unsuccessful, this investment would lead to material value destruction.

Overall, we see traces of a brand intangible asset and switching costs. We also see Rivian's ability to create a cost advantage over time. Yet, the threat of material value destruction looms if the company is unsuccessful, which leads to our no-moat rating.

Fair Value and Profit Drivers Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

We maintain our $20 fair value estimate for Rivian following the company's first-quarter earnings. We

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use a weighted average cost of capital of around 9%.

In 2026, we forecast vehicle deliveries will come in around 63,500, up roughly 50% versus 42,247 in 2025. We expect US EV sales to decline in 2026 due to the expiration of the US EV tax credit in September 2025. However, we see growth for Rivian as the company launches its new midsize SUV under the R2 platform. As Rivian is ramping up production of its new vehicles, we expect the automotive gross margin to be negative in 2026. However, we see gross margin turning positive in 2027 as production ramps up and Rivian benefits from scale-based operating leverage.

Long-term, we assume Rivian will successfully ramp up its Georgia production plant. We forecast deliveries will be roughly 375,000 vehicles per year in 2030, as we think the midsize SUVs will prove successful and most deliveries will come from the R2 and R3 platforms over time. We think Rivian will be successful in continuing to reduce its manufacturing costs on a per-vehicle basis. We forecast the automotive segment gross margin will remain positive after 2027 and expand to 10% by the end of the decade.

We assume overhead expenses will decline as a percentage of sales as the company benefits from operating leverage as deliveries grow. As a result, we forecast companywide operating profits will turn positive by 2030. We also forecast positive free cash flow by 2030. To fund this growth, we assume Rivian will spend nearly $15 billion in capital expenditures over the next decade.

In software and services, we assume the joint venture with Volkswagen progresses as planned and is able to establish itself as an electronic control unit supplier to Volkswagen for the ID1 starting in 2027 and then in future electric vehicles. This keeps segment revenue growing and segment gross profits positive. We assume Rivian is successful in developing its autonomous vehicle software and forecast it will be priced at $49 per month for Level 2 and in line with Tesla's full self-driving product for the Level 4 version, which we assume is rolled out by the end of the decade. We assume Rivian sees increased adoption of its AV among Rivian drivers over time. Finally, we assume Rivian's software is successful and the company is able to get its vehicles on the Uber ride-hailing network. Here, we assume Rivian gets a 25% share of each ride as the software provider. This boosts vehicle deliveries and adds an additional high-margin software revenue stream for the company.

We assume Rivian will need to raise an additional $2 billion in equity and debt split between 2028 and 2029 to fund expenses as it ramps up the Georgia plant.

Given the wide range of outcomes, we also model upside and downside scenarios.

Our upside-scenario fair value estimate is $50. In this scenario, we assume Rivian delivers around 430,000 vehicles in 2030 and benefits from cost reductions in excess of our base-case forecast. Additionally, we assume the joint venture with Volkswagen has a higher adoption rate in Volkswagen's

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new vehicles. We also assume Rivian's autonomous driving software is successful and sees a higher price and higher adoption among Rivian owners versus our base case. Finally, we assume Rivian sees a higher take rate from adding its vehicles to the Uber ride-hailing network and also benefits from more rides per day on average versus our base case.

Our downside-scenario fair value estimate is $2.50. In this scenario, we assume Rivian delivers less than 300,000 vehicles in 2030. We also assume cost reductions do not materialize as planned and Rivian is forced to cut prices amid increasing competition. This keeps gross margin in the single digits over the long term. We also assume the joint venture with Volkswagen sees far lower adoption in new Volkswagen vehicles versus our base case. Finally, we assume far lower adoption of autonomous driving software and no ride-hailing revenue as Rivian is unsuccessful in developing its autonomous vehicle software on time.

Risk and Uncertainty Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

We assign Rivian a Very High Morningstar Uncertainty Rating as we see a wide range of potential outcomes for the company.

The largest risks facing Rivian are that the company is still unprofitable and it generates negative free cash flow. Management plans to ramp up production of its new, lower-cost midsize SUV vehicles as a path to profitability, which mirrors the strategy employed by EV peer Tesla. However, there is no guarantee that this plan will work for Rivian. The company could continue to generate negative free cash flow, resulting in the need to raise additional capital, which could greatly dilute current shareholders. If the company is unable to raise capital, Rivian could have to declare bankruptcy, effectively wiping out shareholders.

The automotive market is highly cyclical and subject to sharp demand declines based on economic conditions. Rivian is subject to growing competition from traditional automakers and new entrants. While its initial luxury truck and SUV offerings have done well with consumers, with more EV choices, consumers may view Rivian less favorably. The company is also investing heavily in R&D to develop autonomous driving software and new vehicles, with no guarantee these investments will bear fruit.

Rivian faces environmental, social, and governance risks. As an automaker, Rivian is subject to potential product defects that could result in recalls, including its autonomous driving software. We see a moderate impact should this occur. Additional ESG risks include potential patent litigation as the company relies on new technology to improve its EVs and energy storage systems. We see a low probability but moderate materiality should this occur. Rivian may also face regulatory issues in some US states due to laws that require automakers and dealers to be separate. We see a moderate probability but low materiality.

Capital Allocation Seth Goldstein, CFA, Senior Equity Analyst, 1 May 2026

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We assign Rivian a Standard Capital Allocation Rating based on our framework that assesses its balance sheet, investment decisions, and shareholder distributions.

We view Rivian's balance sheet as sound. In our view, the company has enough cash and committed debt and equity investments from the Volkswagen joint venture deal and US Department of Energy loan to fund itself through at least 2028. We expect free cash flow will continue to be negative through at least the rest of the decade as Rivian is investing in expanding its Illinois plant and constructing a new plant in Georgia to be able to produce its midsize SUVs, then ramping up production of those vehicles.

We view management's investments as fair. We credit management with successfully launching and ramping up production of its luxury truck and SUV under the R1 vehicle platform as well as its delivery vans. We are also in favor of the strategy to move into midsize SUVs at a cheaper price point as a way to grow deliveries. However, it's too early to determine management's ability to generate profits and positive free cash flows through the successful launch and production ramp of the midsize SUV under the R2 platform.

Similarly, it is still too early to judge the value creation from the Volkswagen joint venture. The deal allowed Rivian a crucial source of funding to complete its Illinois plant expansion and ramp up R2 production at a fair valuation for Rivian, with two equity tranches of the investment at a premium to Rivian's share price, two equal to the market share price, and one below our fair value estimate. The joint venture will ultimately add value if it is able to win market share in more Volkswagen vehicles after being in the ID1.

Along these lines, it is too early to judge management's investments in its autonomous driving software. Should the software reach Level 4 capabilities, it would likely lead more consumers to choose a Rivian and growing robotaxi revenue from the partnership with Uber. However, if it is unsuccessful, Rivian would likely have to license software from another provider, such as Tesla or Nvidia, leaving little value in its current investment and no robotaxi revenue.

We think the firm's distribution strategy is appropriate. As Rivian is still unprofitable and generates negative free cash flow, we think it is appropriate to invest in the construction of its new production lines. The firm currently does not pay a dividend or buy back shares, and we would not expect this to change at least until the firm is generating positive free cash flow and the US DOE loan starts to be repaid.

CEO and board chair RJ Scaringe founded Rivian in 2009. He was recently awarded a new pay package with most of the compensation coming from stock options that are awarded based on targets for Rivian's share price, adjusted operating income, and operating cash flow. We understand the operating income and operating cash flow targets, as Rivian is a growing company that aims to become profitable and generate positive free cash flow. But we would prefer the company to add a return on invested capital metric in the future.

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Amazon and Volkswagen are Rivian's two largest shareholders; they have invested in Rivian through partnerships. Amazon currently owns around 13% of total shares outstanding, while Volkswagen owns 12%. We expect Volkswagen's ownership will increase over the next couple of years as most of Volkswagen's future investment in Rivian from the 2024 joint venture agreement will come from stock issuances.

Analyst Notes Archive

Rivian: Shares Rise on First-Quarter Deliveries Growth Seth Goldstein, CFA,Senior Equity Analyst,2 Apr 2026

Rivian reported 10,365 deliveries in the first quarter, up 20% year over year. Its shares were up 3% in intraday trading April 2 as the market reacted to this report and management's affirmation of 2026 deliveries guidance for annual growth over 50% at the midpoint.Why it matters: The first-quarter growth shows that Rivian's luxury truck and full-size sport utility vehicle remain popular with consumers in the high-end luxury market even after the US tax credit expired in September 2025. We also attribute the deliveries growth to consumer enthusiasm for Rivian's autonomous driving software, which is currently a Level 2 system. This is in line with our view that autonomous driving software will become a differentiator for autos in the US market over time. With strong growth to begin the year, we think management's guidance for 62,000-67,000 deliveries in 2026 is achievable. Most of the growth will likely come from the new lower-priced midsize SUV, which should begin deliveries in the second quarter.The bottom line: For now, we maintain our $20 fair value estimate for no-moat Rivian. We currently view the shares as undervalued, trading more than 20% below our fair value estimate and in 4-star territory. We forecast full-year deliveries will be in line with management's guidance range and expect most growth in the second half of the year will come from R2 vehicles as production ramps up throughout the year.Coming up: Rivian will report first-quarter results on April 30 after the market close. We hope to hear from management on the R2 production ramp timeline. We also hope to hear about the progression of Rivian's autonomous driving software following its robotaxi partnership announcement with Uber.

Rivian: Successful Winter Tests Will Result in $1 Billion in Investment From Volkswagen Seth Goldstein, CFA,Senior Equity Analyst,27 Mar 2026

Volkswagen announced on March 27 that RV Tech, its joint venture with Rivian, has successfully completed the winter tests of its zonal architecture for the first generation of Volkswagen's software-defined vehicles.Why it matters: The successful testing unlocks a $1 billion investment by Volkswagen in Rivian as part of the joint-venture agreement. The investment will be $750 million in equity and $250 million in either equity or convertible notes. In addition to the $1 billion funding that was contingent upon the winter testing, Rivian can access a $1 billion loan from Volkswagen in October. This, along

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MORNINGSTAR®

Rivian Automotive Inc Class A RIVN ★★★ 1 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
16.30 USD 31 May 2026	20.00 USD 19 Mar 2026 22:54, UTC	0.81	22.76 USD Bil 1 Jun 2026	None	Mid Blend	Very High	Standard

with Rivian's current cash and short-term investments, should allow Rivian to fund itself through at least 2028.The bottom line: We maintain our $20 fair value estimate for no-moat Rivian. Our valuation assumed the winter testing would be successful and allow Rivian to receive the $1 billion investment from Volkswagen. The milestone confirms our view that the joint venture will establish itself as an electronic control unit supplier to Volkswagen, starting initially in 2027 for the ID.1 but then being added to future vehicles. This will boost long-term profits for Rivian. We view Rivian shares as currently undervalued, trading in 4-star territory and roughly 25% below our fair value estimate.Coming up: Rivian will likely report first-quarter deliveries next week. We expect deliveries will be down year over year due to the September 2025 expiration of the US electric vehicle tax credit. We forecast deliveries growth in 2026, thanks to the launch of the lower-priced R2 vehicle later this year.

Rivian: Shares Rise on Uber Robotaxi Deal; Raising Valuation Seth Goldstein, CFA,Senior Equity Analyst,19 Mar 2026

Rivian announced a partnership with Uber where Rivian will provide up to 50,000 R2 vehicles to be used as robotaxis for the Uber ride-hailing fleet and Uber will invest up to $1.25 billion in Rivian. Rivian shares were up 4% at the time of writing on March 19 on the news. Why it matters: Rivian is developing its autonomous driving software with the goal of launching a level 2 product, where the driver must still be ready to take control of the vehicle, in 2026. Rivian aims to eventually improve its software to a Level 4 product, which could be used in robotaxis. Under the terms of the agreement with Uber, Uber will buy 10,000 R2 vehicles from Rivian to be used in San Francisco and Miami in 2028, with the potential to buy up to 40,000 additional vehicles in 2030. Rivian would enter the ride-hailing market and likely receive a portion of each ride for its software. Uber will invest an initial $300 million in Rivian when the deal closes, with an additional $950 million based on Rivian's software reaching autonomous driving milestones. This will help fund Rivian as the company ramps up its R2 production and develops its autonomous driving software. The bottom line: We raise our fair value estimate to $20 from $15 for no-moat Rivian. We think Rivian's software will be able to improve enough to successfully run in a geofenced robotaxi operation within a city. This will open a new revenue and profit stream for Rivian. At current prices, we view Rivian shares as undervalued with the stock trading around 20% below our fair value estimate. We maintain our Very High Uncertainty Rating on the stock as we see a wide range of outcomes for the company, particularly around its autonomous driving software. Rivian is currently unprofitable and generates negative free cash flow. Through the launch of the lower-priced R2 vehicle and rollout of its autonomous driving software, we see the firm generating positive free cash flow by 2030.

Rivian Earnings: Shares Rally on Deliveries Growth Outlook; Maintaining Valuation Seth Goldstein, CFA,Senior Equity Analyst,13 Feb 2026

Rivian's fourth-quarter results reflected the US electric vehicle tax credit expiration, as lower deliveries

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weighed on profit. The shares were up 20% intraday on Feb. 13 on management's outlook for deliveries growth in 2026.Why it matters: Rivian is preparing to begin manufacturing its new lower-priced midsize sport utility vehicle under the R2 platform. We expect US electric vehicle sales will decline in 2026 due to the tax credit expiration, but Rivian's outlook is in line with our view for roughly 50% deliveries growth. Management said the R2 production ramp-up would weigh on profits to begin the year, but it expects positive gross profit in the automotive segment in 2027 as the higher volume of R2 vehicles reduces unit production costs. This is in line with our forecast for positive segment gross profit in 2027.The bottom line: We maintain our $15 fair value estimate for no-moat Rivian as management's guidance for 2026 and beyond is largely in line with our forecast. We think the R2, which will be priced starting in the mid-$40,000 range, will generate growth in deliveries over the next several years. We view the shares as currently fairly valued, trading slightly above our fair value estimate and in 3-star territory. We recommend that investors wait for a pullback and a margin of safety before considering an entry point. Longer term, we expect Rivian's software will provide a path to positive free cash flow generation. We see two key drivers: First, the joint venture with Volkswagen should see profit growth. Second, Rivian's autonomous driving software sales should drive high-margin revenue growth.

Rivian: Shares Fall as Deliveries Decline Seth Goldstein, CFA,Senior Equity Analyst,2 Jan 2026

Rivian reported 9,745 deliveries in the fourth quarter of 2025 and 42,284 for the year. Rivian shares were down around 3% at the time of writing Jan. 2. Why it matters: Fourth-quarter and full-year deliveries were down 31% and 18%, respectively. Rivian was affected by the expiration of the US electric vehicle tax credit that expired in September, as the company sells most vehicles in the US. We expect US EV sales will continue to fall through the first three quarters of 2026. However, for Rivian, we forecast 2026 deliveries will rise due to the launch of the new R2 midsize sport utility vehicle, which will be priced starting at $45,000, far lower than the R1 truck and full-size SUV. Rivian plans to begin production of the R2 vehicles in 2026. So, we expect the company will deliver lower volumes in the first half of 2026 as production ramps up. We see growth in the second half of the year. The bottom line: We maintain our $15 fair value estimate for no-moat Rivian. The 2025 deliveries were slightly above our estimate but just below the midpoint of guidance and consensus estimate. In our view, the share selloff is due to weakening expectations for 2026. At current prices, we view Rivian shares as overvalued, with the stock trading a little more than 25% above our fair value estimate and in 2-star territory. We think the market is optimistic that Rivian's autonomous driving hardware and software will drive deliveries growth. We think Rivian's software-defined vehicles will drive long-term growth, but the autonomous driving software, which will rollout this year, will begin at a level 2 system and need at least several years to improve. Meanwhile, we see negative free cash flow over at least the next four years.

Rivian: We See Growth From Lower-Price Vehicles and Autonomous Driving Software Seth Goldstein, CFA,Senior Equity Analyst,12 Dec 2025

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Rivian is a battery electric vehicle automaker that sells its vehicles in the US and Canada. In addition to vehicles, the company develops autonomous driving software. It also produces electronic control units for autos in a joint venture with Volkswagen. The bottom line: We initiate coverage with a $15 fair value estimate and no-moat rating. We also rate Rivian with Very High Morningstar Uncertainty and Standard Capital Allocation ratings. At current prices, we view shares as fairly valued, with the stock trading around our fair value estimate. In 2026, Rivian plans to launch its midsize sport utility vehicle under the R2 platform. This will be priced starting at $45,000, allowing Rivian to compete with Tesla's Model Y. We forecast the company will be successful in ramping up production of the R2. Rivian also plans to launch its Level 2 autonomous driving software next year, enabling drivers to take their hands off the wheel. Management aims to eventually sell a level 4 product, where the vehicle would take full control. We think this software will be a differentiator for Rivian. Key stats: Rivian has not yet generated a profit or positive free cash flow. We point to reduced unit production costs from scale as the R2 ramps up production and autonomous driving software as two of the key drivers of profitability. The other driver is the company's joint venture with Volkswagen, which will produce electronic control units for Volkswagen's electric vehicles. These greatly simplify a vehicle's architecture, allowing Volkswagen to compete with lower-priced EVs from China. Bulls say: Rivian's autonomous driving software will drive sales, making the company profitable and free cash flow positive in the coming years. Bears say: Rivian will face increased lower-price competition in the midsize SUV market, leading to lower volumes. Rivian will remain unprofitable and continue to generate negative free cash flow.

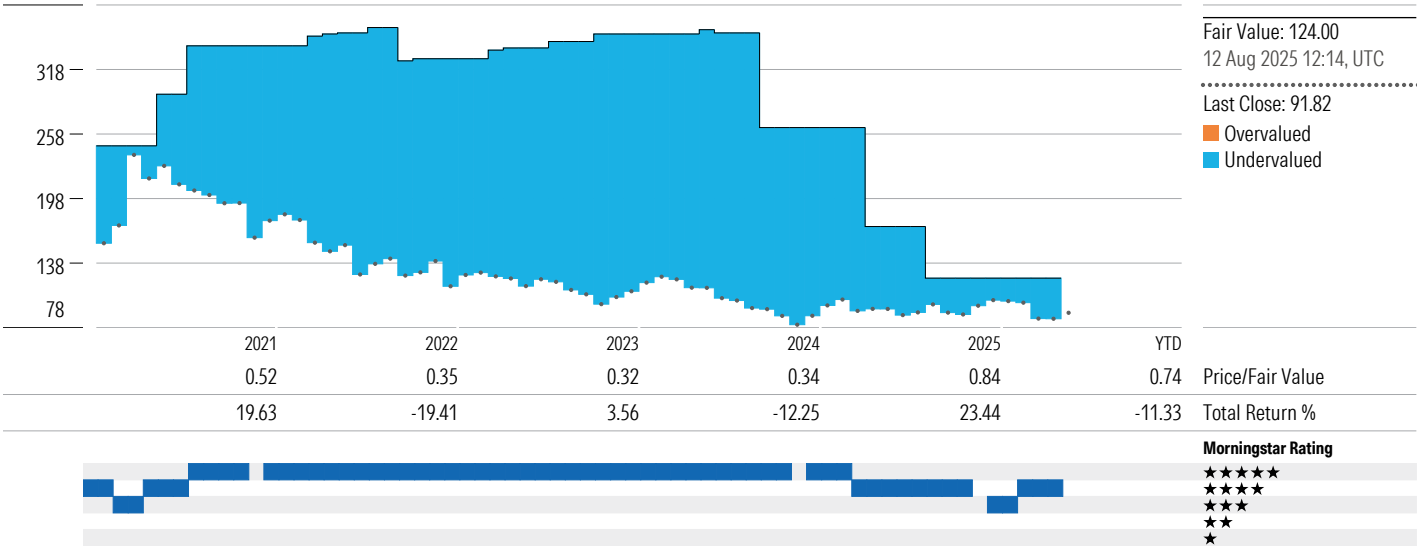
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Rivian Automotive Inc Class A RIVN ★★★ 1 Jun 2026 21:21, UTC

Competitors Price vs. Fair Value

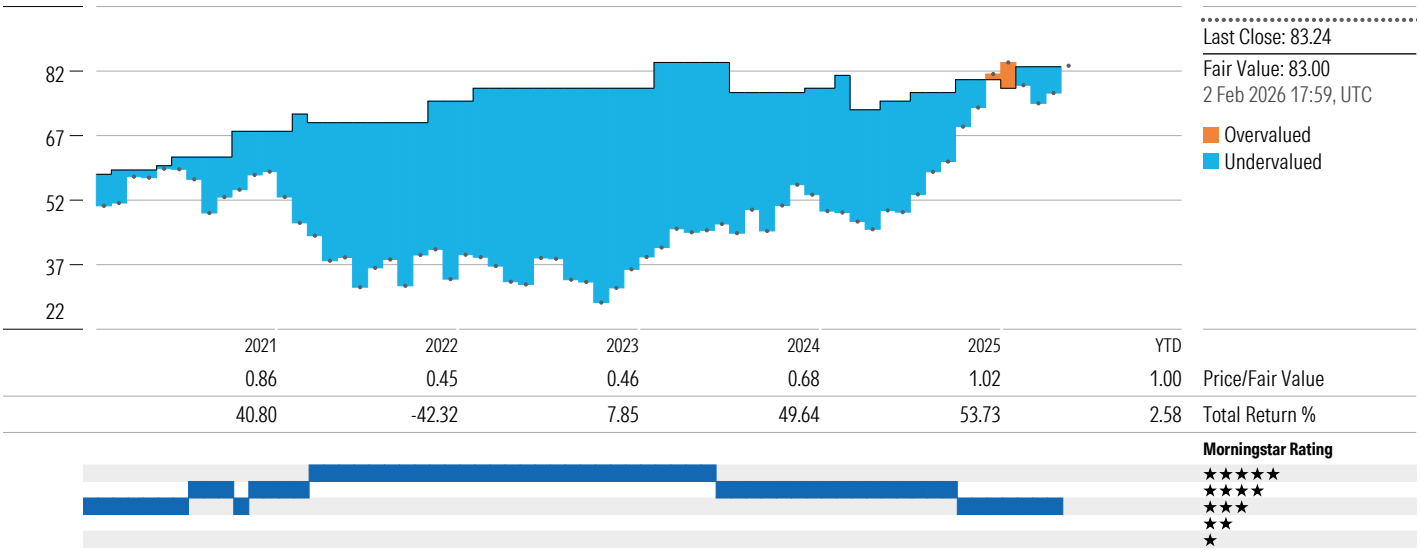
Volkswagen AG Vorz-Inhaber-Akt ohne Stimmrecht VOW3



	2021	2022	2023	2024	2025	YTD	
	0.52	0.35	0.32	0.34	0.84	0.74	Price/Fair Value
	19.63	-19.41	3.56	-12.25	23.44	-11.33	Total Return %

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 12 Aug 2025 12:14, UTC.

General Motors Co GM



	2021	2022	2023	2024	2025	YTD	
	0.86	0.45	0.46	0.68	1.02	1.00	Price/Fair Value
	40.80	-42.32	7.85	49.64	53.73	2.58	Total Return %

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 2 Feb 2026 17:59, UTC.

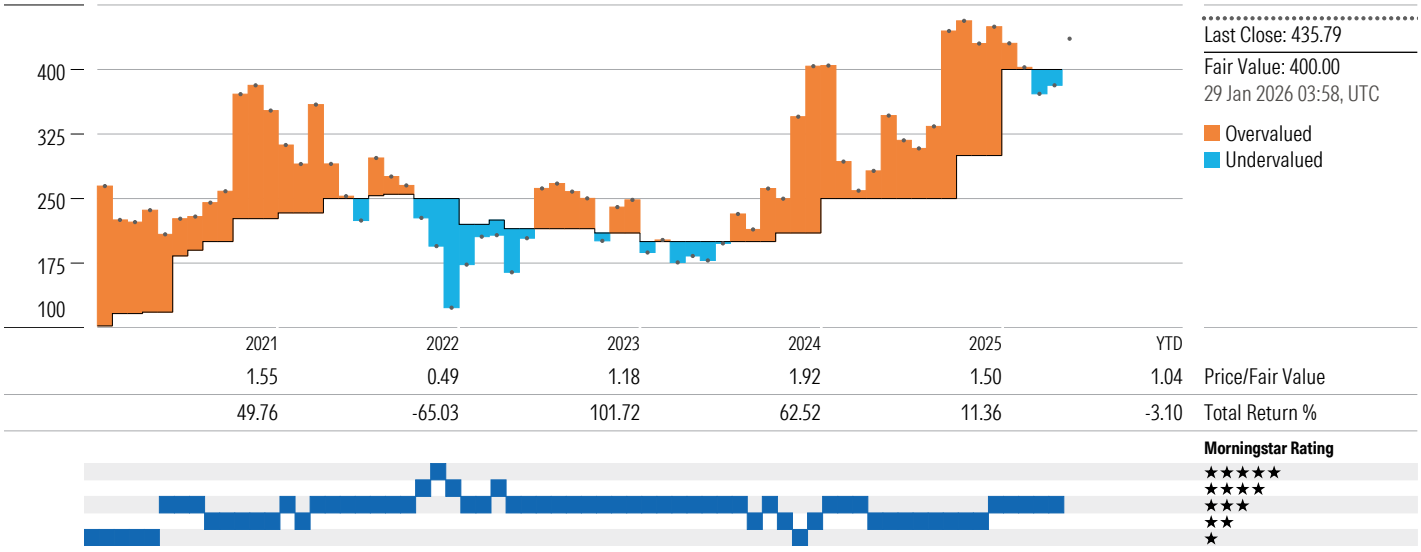
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Competitors Price vs. Fair Value

Tesla Inc TSLA



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.55	0.49	1.18	1.92	1.50	1.04
Total Return %	49.76	-65.03	101.72	62.52	11.36	-3.10

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 29 Jan 2026 03:58, UTC.

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Morningstar Valuation Model Summary

Financials as of 30 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	4,434	4,970	5,387	6,226	10,558	14,929	18,459	23,730
Operating Income (USD Mil)	-5,739	-4,689	-3,585	-3,812	-2,482	-1,210	-502	607
EBITDA (USD Mil)	-4,796	-3,777	-3,740	-2,965	-1,588	-223	731	1,971
Adjusted EBITDA (USD Mil)	-3,789	-2,689	-2,063	-1,936	-652	620	1,584	2,725
Net Income (USD Mil)	-5,432	-4,747	-3,747	-3,872	-2,782	-1,781	-1,134	-24
Adjusted Net Income (USD Mil)	-4,425	-3,658	-2,836	-3,044	-1,946	-938	-283	726
Free Cash Flow To The Firm (USD Mil)	-7,138	-5,593	-4,203	-4,413	-3,341	-1,478	-617	551
Weighted Average Diluted Shares Outstanding (Mil)	947	1,013	1,186	1,270	1,320	1,349	1,384	1,402
Earnings Per Share (Diluted) (USD)	-5.74	-4.69	-3.16	-3.05	-2.11	-1.32	-0.82	-0.02
Adjusted Earnings Per Share (Diluted) (USD)	-4.67	-3.61	-2.39	-2.40	-1.47	-0.70	-0.20	0.52
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 30 Apr 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	-98.5	-129.4	-94.4	-66.6	-61.2	-23.5	-8.1	-2.7	2.6	-19.1
EBITDA Margin %	—	-108.2	-76.0	-69.4	-47.6	-15.0	-1.5	4.0	8.3	—
Adjusted EBITDA Margin %	—	-85.5	-54.1	-38.3	-31.1	-6.2	4.2	8.6	11.5	-2.6
Net Margin %	-95.9	-122.5	-95.5	-69.6	-62.2	-26.4	-11.9	-6.1	-0.1	-21.3
Adjusted Net Margin %	-75.4	-99.8	-73.6	-52.7	-48.9	-18.4	-6.3	-1.5	3.1	-14.4
Free Cash Flow To The Firm Margin %	-117.2	-161.0	-112.5	-78.0	-70.9	-31.6	-9.9	-3.3	2.3	-22.7

Growth & Ratios as of 30 Apr 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	48.1	167.4	12.1	8.4	15.6	69.6	41.4	23.7	28.6	34.5
Operating Income Growth %	-19.4	-16.3	-18.3	-23.5	6.3	-34.9	-51.2	-58.5	-220.8	—
EBITDA Growth %	-14.9	-22.5	-21.3	-1.0	-20.7	-46.4	-86.0	-428.1	169.6	-82.3
Adjusted EBITDA Growth %	-26.6	-27.4	-29.0	-23.3	-6.2	-66.3	-195.1	155.3	72.1	-205.7
Earnings Per Share Growth %	-24.7	-22.4	-18.3	-32.6	-3.5	-30.9	-37.4	-37.9	-98.0	—
Adjusted Earnings Per Share Growth %	-24.7	-26.2	-22.7	-33.8	0.2	-38.5	-52.8	-70.6	-353.1	—

Valuation as of 30 Apr 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	-5.0	-3.7	-8.2	-7.1	-11.5	-24.2	-84.8	32.6
Price/Sales	5.1	3.0	4.5	3.7	2.2	1.5	1.2	1.0
Price/Book	2.4	2.1	5.1	9.6	-282.5	-19.7	-14.7	-16.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	-4.4	-5.4	-11.5	-12.7	-37.6	39.5	15.5	9.0
EV/EBIT	-2.9	-3.1	-6.6	-6.4	-9.9	-20.2	-48.8	40.4
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 30 Apr 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	-32.4	-31.4	-25.5	-34.7	-20.6	-11.4	-7.0	-0.1
ROE %	-59.4	-72.4	-82.1	-172.6	3561.6	153.7	71.2	1.7
ROIC %	-53.6	-30.5	-17.4	-17.3	-8.2	-1.9	0.7	4.9

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	18.6	29.7	21.6	16.6	22.2	23.6	21.4	19.5
Assets/Equity	1.8	2.3	3.2	5.0	-172.8	-13.5	-10.2	-12.7
Net Debt/EBITDA	0.9	0.5	-0.2	-1.5	-4.9	-42.9	13.7	5.0
Total Debt/EBITDA	-1.4	-2.1	-3.2	-2.8	-13.7	17.6	6.9	4.0
EBITDA/ Net Interest Expense	12.5	40.1	108.6	-401.5	-2.7	1.2	2.8	4.8

Forecast Revisions as of 1 May 2026	2026		2027		2028	
Prior data as of 19 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	20.00	19.87	—	—	—	—
Revenue (USD Mil)	6,226	5,976	10,558	10,307	14,929	14,789
Operating Income (USD Mil)	-3,812	-3,776	-2,482	-2,590	-1,210	-1,272
EBITDA (USD Mil)	-1,936	-1,936	-652	-783	620	549
Net Income (USD Mil)	-3,044	-3,070	-1,946	-2,147	-938	-1,081
Earnings Per Share (Diluted) (USD)	-3.05	-3.57	-2.11	-2.63	-1.32	-1.66
Adjusted Earnings Per Share (Diluted) (USD)	-2.40	-2.82	-1.47	-1.89	-0.70	-0.93
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 30 Apr 2026

Cost of Equity %	10.5
Pre-Tax Cost of Debt %	6.2
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	6.0
Stage II Investment Rate %	20.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 30 Apr 2026

	USD Mil
Present Value Stage I	793
Present Value Stage II	6,015
Present Value Stage III	17,043
Total Firm Value	**23,851**
Cash and Equivalents	6,082
Debt	4,440
Other Adjustments	0
Equity Value	**25,493**
Projected Diluted Shares	1,309
Fair Value per Share (USD)	**20.00**

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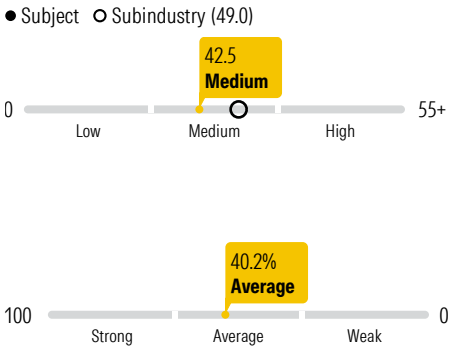
MORNINGSTAR®

Rivian Automotive Inc Class A RIVN ★★★ 1 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
16.30 USD 31 May 2026	20.00 USD 19 Mar 2026 22:54, UTC	0.81	22.76 USD Bil 1 Jun 2026	None	Mid Blend	Very High	Standard

ESG Risk Rating Breakdown

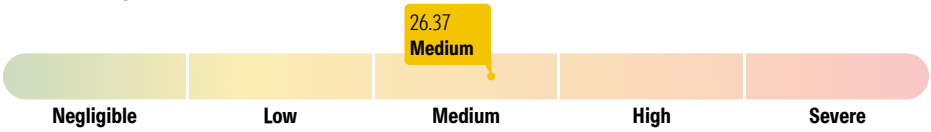
Exposure	
Company Exposure[1]	42.5
– Manageable Risk	40.1
Unmanageable Risk[2]	**2.4**
Management	
Manageable Risk	40.1
– Managed Risk[3]	16.1
Management Gap[4]	**24.0**
Overall Unmanaged Risk	**26.4**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of May 30, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Automobiles. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 40.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 30 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Rivian Automotive Inc	42.5 | Medium	0	55+	40.2 | Average	100	0	26.4 | Medium	0	40+
Volkswagen AG	52.4 | Medium	0	55+	57.6 | Strong	100	0	23.6 | Medium	0	40+
Tesla Inc	38.9 | Medium	0	55+	54.5 | Strong	100	0	18.8 | Low	0	40+
General Motors Co	50.7 | Medium	0	55+	54.6 | Strong	100	0	24.3 | Medium	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Rivian Automotive Inc Class A RIVN 29 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Volkswagen AG Vorz-Inhaber-Akt ohne Stimmrecht VOW3 29 May 2026 05:00, UTC

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General Motors Co GM 29 May 2026 05:00, UTC

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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

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Tesla Inc TSLA 29 May 2026 05:00, UTC

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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★★	★★★	★★★	★	★	★	★	★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

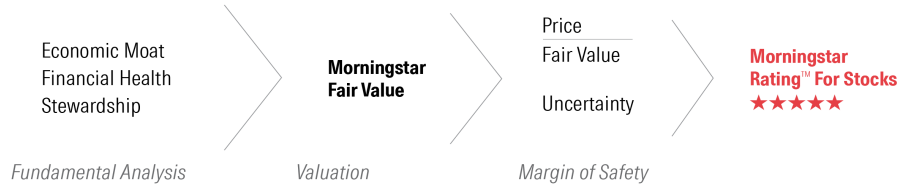
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

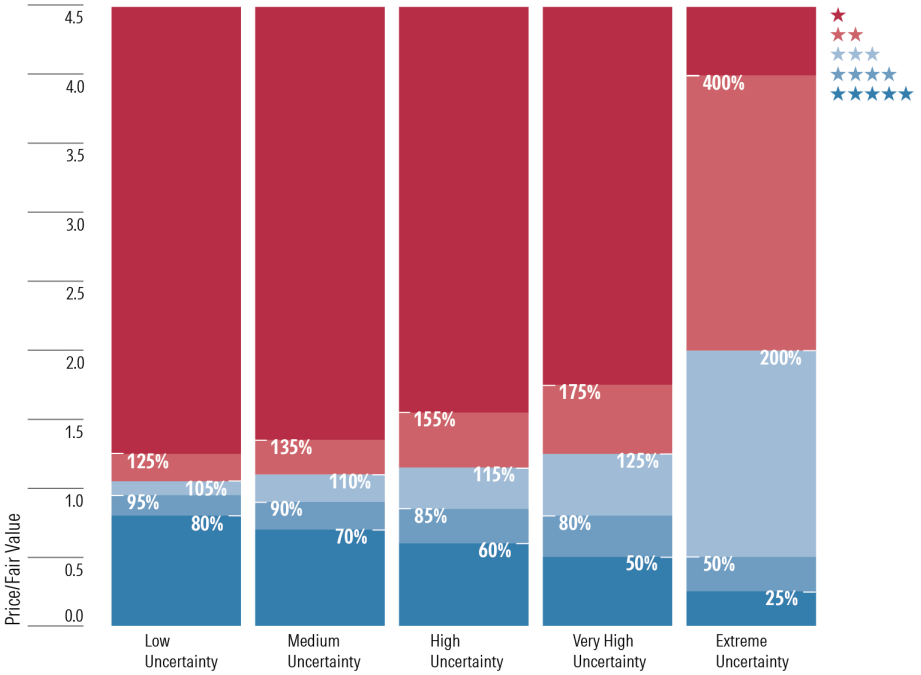
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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